ESPARKSIT

Human Resources Department

HR Policy Manual

Employee Handbook | Policies, Leave, Payroll & Separation

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Applies To	**All employees of Esparksit, India**
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Contents

No.	Section
1	Introduction, Scope & Definitions
2	Office Timing & Working Days
3	Attendance Policy
4	Leave Policy (Casual, Sick, Earned & Special Leave)
5	Holiday Calendar 2027
6	Salary, Payroll & Payment Credit
7	Statutory Benefits & Deductions
8	Probation & Confirmation
9	Notice Period
10	Resignation & Exit Process
11	Full & Final Settlement
12	Termination & Absconding
13	Code of Conduct, POSH & Grievances
14	Policy Administration
	Employee Acknowledgement Form

1. Introduction, Scope & Definitions

This manual sets out the terms on which Esparksit ("the Company") employs its people. It is written so that every employee knows, in plain terms, when to come to work, how leave is earned and taken, when salary is paid, and what happens at joining and at exit. It applies to all full-time, on-roll employees, including those on probation. Interns, consultants and contract staff are governed by their individual agreements, and this manual applies to them only where their agreement says so.

Where a provision of this manual gives an employee less than what Indian law requires, the law prevails. The Company follows the Code on Wages, 2019; the Code on Social Security, 2020; the Occupational Safety, Health and Working Conditions Code, 2020; the Industrial Relations Code, 2020; the Bihar Shops and Establishments Act and rules; and the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

1.1 Definitions

Term	Meaning in this manual
Leave Year	1 January to 31 December.
Working Day	Any day other than a weekly off or a declared Company holiday.
Reporting Manager (RM)	The person to whom the employee reports for daily work, as recorded in the HR system.
Gross Salary	Total fixed monthly salary before deductions, as stated in the appointment letter.
Basic Salary	The Basic component shown in the salary structure annexed to the appointment letter.
HRMS	The Company's attendance and HR software/app used for punching, leave and payslips.
LWP	Leave Without Pay — absence for which no salary is paid.
Last Working Day (LWD)	The final day of service after the notice period or any approved release.

2. Office Timing & Working Days

Item	Standard
Working days	Monday to Saturday. **Sunday** and the **2nd and 4th Saturday** of every month are weekly offs.
Office hours	**9:30 AM to 6:30 PM** (9 hours on premises, including lunch).
Lunch break	1:30 PM to 2:15 PM (45 minutes).
Tea breaks	Two breaks of 10 minutes each, around 11:30 AM and 4:30 PM.
Required working hours	Minimum **8 hours** of work per day, excluding lunch.
Grace period	15 minutes — arrival up to **9:45 AM** is not marked late.
Weekly hours	Approx. 40–48 hours, never exceeding the limits set under the OSH Code, 2020.

2.1 Shifts & client-facing teams

Teams supporting overseas clients may work a shifted schedule (for example 12:00 PM to 9:00 PM or 2:00 PM to 11:00 PM). Shift timing is confirmed in writing by the Reporting Manager and HR. The same 8-hour work requirement and break rules apply. Women employees are not required to work between 7:00 PM and 6:00 AM without their written consent, and when they do, the Company arranges safe transport and complies with all conditions under the OSH Code.

2.2 Overtime & working on off-days

- Work beyond normal hours must be approved in advance by the Reporting Manager.
- Employees covered as "workers" under labour law are paid overtime at twice the ordinary rate of wages, as the law requires.
- Working on a weekly off or a Company holiday, with prior approval, earns one **Compensatory Off (Comp-Off)** for a full day (minimum 8 hours) or half a Comp-Off for 4 hours. Comp-Off must be used within **60 days**, or it lapses.
- Comp-Off is not paid out in cash and cannot be used during the notice period without RM approval.

2.3 Work from home

Work from home (WFH) is an exception, not a standing right. It may be approved by the Reporting Manager for up to **2 days per month**, applied for in the HRMS at least one working day in advance. During WFH the employee must log in on the HRMS app, be reachable on official chat and phone from 9:30 AM to 6:30 PM, and complete the full 8 hours. Unapproved WFH is treated as absence.

3. Attendance Policy

3.1 Recording attendance

- Every employee must punch **IN** on arrival and **OUT** on leaving, using the biometric device or the HRMS mobile app (geo-tagged).
- Attendance marked by another person (proxy punching) is serious misconduct and leads to disciplinary action.
- Employees on client visits or official travel must mark "On Duty" in the HRMS with RM approval on the same or next working day.

3.2 Daily attendance status

Condition	Status marked
Punch-in by 9:45 AM and at least 8 hours worked	Present
Punch-in between 9:46 AM and 11:00 AM	Present — **Late Mark**
Punch-in after 11:00 AM, or 4 to less than 8 hours worked	**Half Day**
Less than 4 hours worked, or no punch without approved leave	**Absent**
Leaving before 6:30 PM without approval (early going)	Treated the same as a Late Mark

3.3 Late-coming rule

- **3 Late Marks** in a calendar month are allowed without any deduction.
- Every further block of **3 Late Marks** results in a deduction of **half a day** — first from Casual Leave, then Earned Leave, and if no leave balance remains, as LWP.
- Late Marks caused by documented public transport failure, extreme weather or official instruction may be waived by HR.

3.4 Missed punch & regularisation

If an employee forgets to punch or the device fails, a regularisation request must be raised in the HRMS within **2 working days** with a reason, and approved by the RM. A maximum of **3 regularisations** per month are allowed. Requests raised after the payroll attendance cut-off (25th of the month) are corrected in the next month's salary.

3.5 Unauthorised absence

Absence without prior approval or same-day intimation (by 10:00 AM to the RM, by call or official chat) is marked as **LWP**, even if the employee has leave balance. Repeated unauthorised absence is handled under Section 12.

4. Leave Policy

Every employee is entitled to the paid leave below each leave year. Employees who join mid-year receive leave on a pro-rata basis from their date of joining.

4.1 Leave entitlement at a glance

Leave Type	Days / Year	How it is credited	Carry forward	Encashment
Casual Leave (CL)	8	2 days at the start of each quarter	No — lapses on 31 Dec	No
Sick Leave (SL)	7	On 1 January (pro-rata for joiners)	Yes — up to a total of 21 days	No
Earned / Privilege Leave (EL)	15	1.25 days per completed month of service	Yes — up to a total of 30 days	Yes — at separation, up to 30 days
Total paid leave	**30**			

4.2 Casual Leave (CL)

- Meant for short, unplanned personal needs.
- Maximum **3 consecutive days** at a time. CL cannot be combined with EL, but may be combined with SL in a medical situation.
- Apply in the HRMS at least **1 working day** in advance; in emergencies, inform the RM by 10:00 AM and apply on the day of return.
- Half-day CL is allowed. CL may be used during probation.

4.3 Sick Leave (SL)

- Used only for the employee's own illness, injury or medical treatment.
- Inform the RM by **10:00 AM** on the first day of sickness. Apply in the HRMS within 2 working days of return.
- A **medical certificate** from a registered medical practitioner is required for SL of **more than 2 consecutive days**, and a fitness certificate for absence of 7 days or more.
- Unused SL accumulates up to 21 days and is never encashed. When SL is exhausted, CL or EL may be used, after which absence is LWP.
- Misuse of SL (for example, being found working elsewhere or travelling for leisure) is misconduct.

4.4 Earned / Privilege Leave (EL)

- Earned at 1.25 days per completed month of service (15 days a year). EL accrues from the date of joining but can be **availed only after confirmation**, and in any case after 180 days of service, which also meets the OSH Code requirement of at least one day of leave for every 20 days worked.
- Apply at least **7 days in advance** for EL of 3 days or more, and **15 days in advance** for EL of 5 days or more.
- Maximum **10 consecutive working days** per spell, unless approved by the Director.
- Unused EL carries forward to a maximum balance of 30 days. Any balance above 30 on 31 December lapses — employees are encouraged to plan their EL.
- At separation, EL balance up to 30 days is encashed at **Basic Salary ÷ 26** per day, with the Full & Final Settlement.

4.5 Special leave

Leave Type	Entitlement	Conditions
Maternity Leave	26 weeks paid (for the first two children); 12 weeks for the third child onward	As per the Code on Social Security, 2020. Up to 8 weeks may be taken before the expected delivery date. Employee must have worked at least 80 days in the 12 months before delivery.
Adoption / Commissioning Mother	12 weeks paid	Adoption of a child below 3 months of age, or commissioning mother, from the date the child is handed over.
Miscarriage / Medical Termination	6 weeks paid	On production of medical proof, as per law.
Paternity Leave	5 working days paid	To be taken within 30 days of the child's birth or adoption. Available after 6 months of service.
Bereavement Leave	3 working days paid	On the death of spouse, child, parent, sibling or parent-in-law.
Marriage Leave	3 working days paid	Once during employment, for the employee's own marriage, after confirmation.
Leave Without Pay (LWP)	Up to 15 days per year	Only when all paid leave is exhausted and with RM and HR approval. Salary is deducted per day.

4.6 General leave rules

- All leave must be applied for and approved in the HRMS. Leave taken without approval is LWP.
- **Sandwich rule:** if leave is taken on both the working day before and the working day after a weekly off or holiday, the off-days in between are also counted as leave. This applies to CL and LWP, not to SL supported by a medical certificate.
- Leave cannot be claimed as a right; the RM may refuse or reschedule leave during critical project periods, giving reasons. Approved leave may be cancelled only in genuine business emergencies, and the employee is compensated for any non-refundable travel cost with proof.
- Leave during the notice period is allowed only for genuine sickness or emergency, and the notice period may be extended by the leave days taken.
- Overstaying approved leave without intimation is treated as unauthorised absence.

5. Holiday Calendar 2027

The Company observes **12 paid holidays** in 2027: 10 fixed holidays listed below, plus **2 Restricted (optional) holidays** that each employee chooses.

#	Date	Day	Holiday
1	26 January 2027	Tuesday	Republic Day
2	10 March 2027*	Wednesday	Eid-ul-Fitr
3	22 March 2027	Monday	Holi
4	23 March 2027	Tuesday	Holi (second day)
5	15 August 2027	Sunday	Independence Day (falls on weekly off)
6	2 October 2027	Saturday	Gandhi Jayanti
7	October 2027*	As notified	Durga Puja — Maha Navami / Vijayadashami (1 day)
8	29 October 2027	Friday	Diwali
9	4 November 2027	Thursday	Chhath Puja
10	5 November 2027	Friday	Chhath Puja (second day)

* Dates of moon-based and lunar festivals are confirmed by HR circular once the Government of Bihar notifies them. When a holiday falls on a weekly off (as Independence Day does in 2027), no substitute holiday is given.

5.1 Restricted holidays — choose any 2

Date	Holiday	Date	Holiday
1 January	New Year's Day	17 May*	Eid-ul-Adha (Bakrid)
14 January	Makar Sankranti	Aug (as notified)*	Raksha Bandhan
22 March	Bihar Diwas (if not taken with Holi)	Aug / Sep (as notified)*	Janmashtami
26 March	Good Friday	31 October	Bhai Dooj / Chitragupta Puja
Apr (as notified)*	Ram Navami	25 December	Christmas

Restricted holidays must be selected in the HRMS by **31 January 2027** and cannot be carried forward or encashed.

6. Salary, Payroll & Payment Credit

6.1 Pay cycle and credit date

Item	Rule
Pay period	1st to the last day of each calendar month.
Attendance cut-off	25th of the month. Attendance changes after the cut-off are adjusted in the next month's salary.
Salary credit date	**On or before the 7th of the following month.** Example: salary for January 2027 is credited by 7 February 2027.
If the 7th is a holiday	Salary is credited on the **previous working day**.
Mode of payment	Direct bank transfer (NEFT / IMPS / RTGS) only, to a savings account in the employee's own name. No cash payments.
Payslip	Available in the HRMS and emailed by the **10th** of the month.
Salary for part months	Pro-rata: Gross Salary ÷ number of calendar days in that month × days payable.
Per-day deduction for LWP	Gross Salary ÷ number of calendar days in that month.

Payment-timeline commitment: The Code on Wages, 2019 requires monthly wages to be paid before the end of the 7th day of the following month. Esparksit treats the 7th as the latest date, not the target date.

6.2 Salary structure

Each employee's salary structure is annexed to the appointment letter. The Company follows the definition of "wages" in the Code on Wages, under which Basic Salary plus Dearness Allowance and retaining allowance must be at least 50% of total remuneration for computing PF, gratuity and other statutory benefits.

Component	Typical share of Gross	Notes
Basic Salary	50%	Base for PF, gratuity and leave encashment.
House Rent Allowance (HRA)	20%–25%	Tax exemption as per the Income-tax Act, on submission of rent proofs.
Special / Other Allowance	Balance	Fully taxable.
Performance Incentive (where applicable)	Variable	As per the role's incentive scheme, paid with the following month's salary.

6.3 Bank details, reimbursements & advances

- Bank account details (account number, IFSC, cancelled cheque) must be submitted on the day of joining. Changes must be informed to HR before the 20th to apply that month.
- Approved business expenses must be claimed in the HRMS with original bills by the **25th**; they are paid with that month's salary. Claims older than 60 days are not accepted.
- Confirmed employees may request a salary advance of up to **50% of one month's net salary**, once in 12 months, recovered in up to 3 equal monthly instalments. No interest is charged.
- Any arrears (for example due to late attendance correction or revision) are paid in the next payroll.

6.4 Salary review

Salaries are reviewed once a year in **April**, based on the annual performance appraisal (April–March cycle). Employees who joined after 1 October are reviewed in the following cycle. A revision is not automatic and depends on individual performance and Company results.

7. Statutory Benefits & Deductions

Item	Employee share	Company share	Applicability
Provident Fund (EPF)	12% of Basic (+DA)	12% of Basic (+DA)	Mandatory once the Company has 20 or more employees; Company may enrol earlier voluntarily. Contribution wage capped at ₹15,000 unless both opt for actual.
Employees' State Insurance (ESI)	0.75% of gross wages	3.25% of gross wages	Employees earning up to ₹21,000 per month gross, once the Company has 10 or more employees.
Bihar Professional Tax	As per slab (below)	—	Deducted under the Bihar Tax on Professions, Trades, Callings and Employments Act, 2011.
Income Tax (TDS)	As per the employee's chosen regime	—	Investment declaration by April; proofs by 15 January.
Gratuity	—	Paid by Company	After 5 years of continuous service (1 year for fixed-term employees), at 15 days' last-drawn wages for each completed year.

7.1 Bihar Professional Tax slabs (annual income)

Annual taxable income	Professional Tax per year
Up to ₹3,00,000	Nil
₹3,00,001 – ₹5,00,000	₹1,000
₹5,00,001 – ₹10,00,000	₹2,000
Above ₹10,00,000	₹2,500

Statutory rates and thresholds change from time to time. Payroll always applies the rate in force on the date of deduction.

8. Probation & Confirmation

Item	Rule
Probation period	**6 months** from the date of joining, for all new employees.
Extension	May be extended **once by up to 3 months** if performance or conduct needs improvement. The extension is given in writing before the probation ends, with reasons.
Review	The RM completes a probation review form in the last 15 days of probation, covering work quality, learning, attendance and conduct.
Confirmation	Confirmation is effective only on issue of a written **Confirmation Letter** by HR. Without it, the employee remains on probation.
Notice during probation	**15 days** from either side, or salary in lieu for the shortfall.
Leave during probation	CL and SL may be used. EL accrues but may be used only after confirmation.
Termination during probation	If performance or conduct is unsatisfactory, service may be ended with 15 days' notice or pay in lieu, after one documented feedback discussion.

9. Notice Period

Employee category	Notice by employee	Notice by Company
On probation (all levels)	15 days	15 days
Confirmed — Associate / Executive / Developer / Designer (L1–L2)	**30 days**	30 days
Confirmed — Senior / Team Lead / Manager and above (L3+)	**60 days**	60 days

- The notice period starts on the working day after HR acknowledges the resignation in writing.
- **Buy-out / short notice:** the Company may, at its discretion, release an employee early. If released at the employee's request, the employee pays (or the Company recovers from dues) **Gross Salary ÷ 30 × the number of notice days not served**. If the Company releases the employee early on its own initiative, no recovery is made.
- EL balance cannot be set off against notice period without the written approval of the RM and HR.
- During notice, the employee must complete a full handover, and any leave taken may extend the last working day by the same number of days.

10. Resignation & Exit Process

Step	What happens	Who / When
1. Submit resignation	Email resignation from official email ID to the Reporting Manager, with HR in copy, and submit it in the HRMS. Verbal or chat resignations are not accepted.	Employee
2. Discussion	RM holds a one-to-one discussion to understand reasons. Retention may be discussed.	RM — within 2 working days
3. Acceptance	HR issues a written acknowledgement stating the notice period and the Last Working Day.	HR — within 3 working days
4. Withdrawal (optional)	Resignation may be withdrawn within 7 days of submission, only with RM and HR approval.	Employee
5. Knowledge transfer	Handover document listing projects, credentials (via official vault), files, client contacts and pending work, signed off by RM.	Employee & RM — during notice
6. Asset return	Return laptop, charger, ID card, access card, SIM, and any Company property in working condition. Losses or damage beyond normal wear are recovered.	Employee & IT/Admin — on LWD
7. Clearance form	No-dues clearance from RM, IT, Admin, Accounts and HR. Official email and system access are disabled at end of LWD.	All departments — on LWD
8. Exit interview	Confidential conversation with HR about the employee's experience.	HR — last week of notice
9. Exit documents	Relieving Letter and Experience Letter issued on the LWD or within 7 days after full clearance. Form 16 is issued in the normal annual cycle.	HR

An employee who leaves without serving notice or completing clearance will still receive wages earned, as required by law, but the Relieving Letter and Experience Letter will state the actual position, and notice-period recovery will apply.

11. Full & Final Settlement (F&F)

Component	Payment timeline
Salary for days worked up to the Last Working Day	Within **2 working days** of the Last Working Day, as required by Section 17(2) of the Code on Wages, 2019.
EL encashment (up to 30 days), approved reimbursements, pending incentives	Within **30 days** of the Last Working Day, after clearance.
Gratuity (if eligible)	Within **30 days** of becoming payable, as per the Code on Social Security, 2020.
PF withdrawal / transfer	Employee applies on the EPFO portal; the Company approves within 7 working days of the claim.

Recoveries that may be deducted from F&F;: notice-period shortfall, unreturned or damaged assets, outstanding salary advance, and any other amount the employee has agreed to in writing. Deductions are made only as permitted under the Code on Wages, and an itemised F&F; statement is shared with the employee.

12. Termination & Absconding

12.1 Termination by the Company

- For confirmed employees, the Company may end employment by giving the notice in Section 9, or salary in lieu of notice.
- For proven misconduct — such as theft, fraud, sharing confidential client data or source code, proxy attendance, harassment, violence, or working for a competitor while employed — service may be terminated **without notice** after a show-cause notice and a fair hearing.
- All terminations are communicated in writing, with reasons.

12.2 Absconding

- Absence for **3 consecutive working days** without information: HR contacts the employee by phone, email and a letter to the address on record.
- Absence for **7 consecutive working days** with no response: a show-cause notice is issued asking the employee to report within 3 days.
- If the employee does not respond, the Company may treat it as voluntary abandonment of service. Earned wages are still paid; notice-period recovery applies, and no Relieving Letter is issued.

13. Code of Conduct, POSH & Grievances

13.1 Conduct

- Treat colleagues and clients with respect. Discrimination on the basis of gender, caste, religion, region, disability or any other ground is not tolerated.
- Keep all client data, source code, credentials and business information strictly confidential, during and after employment.
- Use Company laptops, email and software for work only. Installing pirated software or sharing passwords is prohibited.
- No outside employment or freelance work that conflicts with the Company's business without written approval of the Director.
- Dress code: smart casuals Monday to Friday; business formals for client meetings. Casuals allowed on working Saturdays.
- Alcohol, tobacco and drugs are prohibited on premises.

13.2 Prevention of Sexual Harassment (POSH)

Esparksit has zero tolerance for sexual harassment. The Company has constituted an **Internal Committee (IC)** under the POSH Act, 2013, presided over by a senior woman employee and including an external member. Complaints may be made in writing to any IC member within 3 months of the incident. Complaints are handled confidentially, and retaliation against a complainant or witness is itself misconduct. IC member names and contact details are displayed on the office notice board.

13.3 Grievance redressal

Level	Raise with	Response time
1	Reporting Manager	Within 5 working days
2	HR Department (if unresolved or concerning the RM)	Within 7 working days
3	Director	Within 15 working days — decision is final within the Company

14. Policy Administration

- HR is responsible for interpreting this manual. In any doubt, HR's written interpretation, approved by the Director, applies.
- The Company may amend this manual to reflect business needs or changes in law. Changes are announced by email at least 15 days before they take effect, except where a change in law takes effect sooner.
- This manual is reviewed every December, and the holiday calendar is issued each year.
- This manual does not form a contract; the appointment letter and applicable law govern the terms of employment. Where the appointment letter is more favourable to the employee, it prevails.

Version	Date	Change	Approved by
1.0	1 January 2027	First issue of the HR Policy Manual	Director, Esparksit

Employee Acknowledgement Form

I confirm that I have received, read and understood the Esparksit HR Policy Manual (ESP-HR-POL-001, Version 1.0), including the policies on office timing, attendance, leave, holidays, salary payment, probation, notice period, resignation and conduct. I agree to follow these policies and any amendments communicated to me in writing.

Employee Name	
Employee ID	
Designation & Department	
Date of Joining	
Signature	
Date	

For HR use

Received by (HR)		Date	

Please sign two copies: one is kept in the employee's personnel file and one is retained by the employee.